

Crunchyroll and Why Streaming Subscribers Cancel

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Abstract

Subscription video on demand (SVoD) providers is witnessing the growth of their market share, which is accompanied by an increased subscriber churn rate. However, the factors influencing the decision to cancel the subscription to a particular SVoD service are complicated by the interplay of several crucial variables, namely price tolerance, acceptability of advertising, and account sharing policies. The current paper aims to identify the factors which are most closely related to subscribers' intent to cancel their subscriptions to streaming services. The information was gathered through a quantitative survey of 50 participants who currently have subscriptions to any online video-on-demand platform. The study focuses on the connection between the perceived value of an SVoD subscription, the willingness to share an account, tolerance to advertisements, and the presence of algorithmic content curation and recommendations as a factor influencing satisfaction and retention. The results of the survey were analysed using peer-reviewed research articles which highlight the importance of value-based content, saturation levels, advertisement avoidance, and password-sharing normalization on the propensity to cancel.

Overall, the survey results demonstrate that price tolerance plays the most significant role among the factors affecting the intent of the individual to cancel their subscription, outweighing the influence of content-related issues by a considerable margin for respondents who have already cancelled their subscriptions at least once. While the sentiment of "there is nothing new to watch on the service" was the second most common reason for SVoD subscription termination, overall, the majority of interviewed individuals would not resort to cancelling their subscriptions in favour of an ad-supported, free subscription if the ability to share their accounts with friends and family were taken away. Furthermore, the results imply that, rather than reflect a specific preference, the tolerance to advertising is a characteristic which depends on the type of subscription an individual has chosen, with algorithmic content curation being mild positive factor for retention. The limitations of the research include the relatively small sample size, the possibility of bias due to self-reporting, and a lack of segmentation between different categories of respondents. These limitations are discussed in detail in the final section of the paper, along with actionable suggestions

based on the results for the SVoD providers which retain their subscribership's at-risk levels, comparable to the Crunchyroll platform.

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Literature Review

1.1 Introduction

Subscription video-on-demand (SVoD) has disrupted the traditional media consumption paradigms of appointment TV and physical media consumption, offering a vastly more personalized catalogue of content in an increasingly fragmented ecosystem of competing services. Yet despite the explosive global adoption of subscription-based services, the customer base of any given service within the sector is notoriously fickle, with cancellation rates across the industry trending upwards even as the overall number of subscriptions grows. This has made understanding the drivers behind subscriber churn a priority for both academia and industry alike (Becerril-Castrillejo et al., 2026). The dynamics influencing the choice to cancel are now of paramount importance to the survival of any SVoD platform, which must grapple with a crowded market where first-time sign-ups are no longer a guarantee of long-term retention.

This review will discuss four themes explored in recent academic research on subscription-video churn: perceived value and content saturation, advertising tolerance, account sharing and its ethical rationalizations, and the moderating role of personalization in engagement. The former three factors have been identified by the reviewed literature as core drivers of churn, whereas the latter has been highlighted as a critical consideration when designing responses to the former three. This review will synthesize the findings of Becerril-Castrillejo et al. (2026), Frade et al. (2021), Lee et al. (2024), Wu et al. (2024), Redondo and Serrano (2025) in order to formulate a research question concerning the interplay between price, advertising, and account sharing as influences on a subscriber's likelihood to cancel. It is hypothesized that these factors rarely operate in isolation, and that each contributes to the overall perceived value of a subscription service.

1.2 Perceived Value, Satisfaction, and Content Satiation

The simplest place to begin with a discussion about subscriber churn is by focusing on the behaviours of actual cancellers. Becerril-Castrillejo et al. (2026)

surveyed 465 SVoD subscribers who had cancelled their subscriptions to any of the five major streaming-video platforms, analysing the reasons for their decision. Satisfaction, value, and satiation - the latter being a decrease in enjoyment stemming from repetitive consumption - were combined by the authors into a broad concept of subscription satisfaction. Perhaps counter-intuitively, satisfaction was found to be only weakly correlated with the likelihood to cancel. Satisfaction with an SVoD subscription exists as a baseline metric independent from any subscriber's behaviour, with decreases in satisfaction fuelling eventual cancellations indirectly by reducing enjoyment during consumption. Becerril-Castrillejo et al. (2026) find that satisfaction is largely influenced by the subscriber's perception of the value of the subscription, which in turn is informed by the availability of alternatives at the time of cancellation. In short, it is not dissatisfaction with Service A that encourages cancellations from Service A, but rather the appearance of Service B.

It is interesting to note how this dynamic might be informing some of the responses given by Becerril-Castrillejo et al.'s (2026) sample subscribers. If a respondent indicated that the reason for their cancellation was, for example, "ran out of things to watch," their feedback might be informing a perceived decrease in value due to satiation. While there may well be a factor of content saturation involved, "ran out of things to watch" is a description of a stagnant, unvarying catalogue that fails to evolve alongside the consumer's consumption habits. In the same way, "feeling like the subscription is too expensive" may be reflecting not an objective value-cost mismatch but a subjective perception stemming from satiation-induced value reduction. Wu et al. (2024) examine the cognitive underpinnings of an intention to subscribe to an SVoD service, reviewing the literature in search of factors influencing the perceived value of a streaming subscription. After analysing 20 relevant studies, the authors identify six cognitive factors influencing the determination of value, with cost-benefit analysis not having a direct influence on subscription intentions but moderating other factors. In particular, a consideration of personalization is necessary in any assessment of value: quality, relevance, variety, and enjoyment combine to influence a consumer's evaluation of what they are getting out of a subscription. It must be noted, however, that cost-benefit assessment influences all value-related considerations on a case-by-case basis, with none of the factors individually dictating subscription intentions. Value considerations influencing subscription cancellations

should therefore not be reduced to a simple assessment of cost relative to benefits, as suggested by Wu et al. (2024).

1.3 Advertising Tolerance and the Ad-Supported Tier

As the price increases of subscription tiers see consumers looking to cut costs elsewhere, understanding consumer tolerance for advertisements within an ad-supported tier becomes increasingly important as a second-order churn consideration. Frade et al. (2021) analyse the literature on advertising within the context of streaming-video consumption, identifying gaps in knowledge and establishing directions for future research. The review discusses the literature on consumer attitudes towards in-stream advertisements, as well as algorithmic approaches to advertisement placement, illustrating the ways in which advertising behaviours in the streaming space have diverged from the traditional linear TV model. Across both schools of research, advertising exposure is a driving force behind consumer avoidance, with the strength of that influence being informed by both the type of ad placement (pre-roll, mid-roll) and the contextual relevance of the advertised content.

Frade et al.'s (2021) findings can be used to build upon some of the common-sense understandings of advertising tolerance typically found in consumer-facing analyses. While most consumers would prefer a cheaper, ad-supported subscription to a more expensive ad-free subscription, such an assessment is far from universal and is significantly informed by prior exposure to the ad-supported tier, if available. In essence, the preference for a cheaper but advert-supported subscription is stronger among users who do not actively utilize that subscription type. This dynamic has important implications for companies looking to introduce an ad-supported subscription option for the first time: until the option has been adopted by a considerable number of consumers, its introduction is likely to cause more harm than good to the overall subscriber base.

1.4 Account Sharing as Piracy-Adjacent Behaviour

When it comes to unique considerations influencing SVoD subscriber churn, account sharing is among the most interesting. While many scholars focus on the ways in which sharing impacts the business model and consumer behaviour, Lee et al. (2024) take a different approach, conceptualizing password sharing as a form of

piracy with its own rationalization process. In their study of 489 SVoD subscribers, Lee et al. (2024) utilize the neutralization theory in order to examine the impact of piracy-specific rationalizations on the intention to share or receive a shared account. Their findings indicate that general subscription piracy significantly predicts the likelihood of both borrowing and lending among subscribers, but the influence is moderated by concerns with privacy, fashion involvement, and the target audience (friends vs. family).

The main finding of Lee et al. (2024) is that introducing policies punishing account sharing will, at best, have limited effectiveness due to the presence of rationalization among repeat offenders. The study's implications suggest that the best way to combat password sharing is to encourage sharing subscribers to eventually convert to paying ones. One effective way to facilitate conversion is to implement economic incentives that would reduce the losses incurred by casual sharing when a subscriber chooses to subscribe officially. However, Redondo and Serrano (2025) approach the problem from a slightly different angle, suggesting that the deterrent effect of penalty-based policies can be supplemented with reward-based alternatives. Applying the principles of social exchange theory, the authors analyse how different subscription offers might be impacting the intentions of unauthorized account sharers as well as those who are considering sharing. According to Redondo and Serrano (2025), introducing penalties only serves to threaten the existing unauthorized account sharers without encouraging any of the potential ones to convert to paying subscribers. In reality, the only offers that have a measurable impact on subscription intentions involve rewards as a reward for refraining from sharing or joining a new service altogether. In this vein, Redondo and Serrano (2025) note that account-sharing consumers are more likely to subscribe to an SVoD platform if they believe their behaviour to not be supportive of the unethical practices committed by the company.

1.5 Synthesis and Purpose of the Study

Across the four themes addressed by this literature review, a common idea emerges: churn appears to be primarily driven by a sense of decreased value, which manifests in a variety of ways. Some, such as content saturation and perceived advertising value, directly inform the likelihood to engage with the service. Others, such as account sharing and personalization, are affected by the strength of the

consumer's beliefs about value in general. It should be noted that none of the topics discussed in this review address the likelihood of a subscriber weighing these issues against each other when making an important decision about their subscription, nor does any of the four papers attempt to address the issue from the perspective of a company which does not have an established presence in an SVoD market as a “big three” aggregator. With this limitation in mind, the purpose of this study is to ask members of the general subscriber base these questions in order to identify actionable advice which can be provided to any company, established or otherwise, which is looking to reduce its SVoD subscriber churn.

2. Management Question

2.1 Business Background

For the streaming video-on-demand (SVoD) industry, the era of subscriber growth is over - for now, at least, as companies turn their attention to retaining their existing customers. Firms compete through the volume and quality of their catalogues, account accessibility rules, advertisement, and price (Becerril-Castrillejo et al., 2026). For most SVoD providers, this is an issue, but for generic catalogues, it is more acute, as the companies that provide content in a certain genre (anime, for instance) are in a worse position than Netflix or Disney+ as they cannot rely on the appeal of their catalogues to offset the losses to competitors. Crunchyroll is one such company, and its managers must be aware of the risk of both existing and potential customers cancelling their subscriptions. Bhattacharya (2024) notes that when entering the Indian market, which is price-sensitive, Crunchyroll must consider the danger to its subscriber base. The factors that affect this danger are the focus of the current research; they must be balanced to ensure that Crunchyroll does not lose too many subscriptions to competitors.

2.2 Research Question and Hypothesis

To identify them, the current study poses the following question: How are price sensitivity, tolerance of advertisements, and account-sharing policies related to likelihood to cancel?

Based on Part 1, literature review, the following hypotheses can be advanced. First, price is the reason for cancellation for the majority of streaming platform users, as it outweighs content-related concerns and advertisement tolerance, but the prevalence of price-related issues reflects a decrease in perceived value rather than a change in preferences (Becerril-Castrillejo et al., 2026; Wu et al., 2024). Second, the account-sharing restrictions are unlikely to affect the sharers uniformly, as many of them will switch to the paid subscription or be entirely deterred from using the service, depending on how the change is positioned (Lee et al., 2024; Redondo and Serrano, 2025).

2.3 Methodology

A single-stage cross-sectional survey was conducted using Google Forms. The final sample size was 50 respondents, each of whom provided data on five aspects of streaming. First, the participants were asked to identify the platforms they used and how often they used them. Second, they had to report on their experiences with cancellation and price sensitivity. Third, the respondents shared their tolerance of advertisements. Fourth, the account-sharing practices and attitudes towards sharing restrictions were estimated. Finally, the algorithm's ability to recommend content was evaluated for its impact on viewing and likelihood to cancel.

The questions were developed based on the findings of the literature review. Notably, Becerril-Castrillejo et al. (2026) and Wu et al. (2024) highlight that price sensitivity is often conflated with overall value perception in the minds of the consumers; therefore, the comparison between the two was included in the questionnaire (Q5 and Q6/Q14). Furthermore, while account-sharing restrictions are expected to reduce the number of sharers (Lee et al., 2024), the heterogeneity of their attitudes was considered in Q8/Q9. Similarly, the variance in tolerance of ads was reflected in Q10/Q11 (Frade et al., 2021).

The convenience sample was gathered by word of mouth, as the link to the questionnaire was shared among the friends and social media contacts until the desired sample size was reached. This method allowed gathering the required volume of responses, but it also created limitations for the current study. First, there was no screening procedure, which means that the sample might not be representative of the population of streaming platform users. Second, no control was exerted over the

respondents' demographics, which means that the findings might be different for various population groups (age, gender). Finally, the anonymity of the survey was prioritized, which means that no personal information was collected from the participants.

2.4 Data Analysis and Interpretation

The descriptive and cross-tabulated analysis of the data provides mixed support for the advanced hypotheses.

Price and content satiation. Overall, the preference for cancellation reasons was distributed between “no new shows” (19 out of 50 respondents) and price concerns (15 out of 50 respondents), with the former slightly prevailing. However, the picture changes when the churners are considered, as only 11 out of 33 respondents selected “no new shows” as the reason for their decision, while 16 selected price-related concerns (Q14). This finding aligns with Becerril-Castrillejo et al.'s (2026) argument concerning the gradual nature of satiation and its indirect effect on likelihood to cancel, with the changes in price perception being more immediate. In terms of price sensitivity, only 21 out of 50 respondents indicated that their monthly spending cannot exceed \$5 per month, and only 7 (14%) would pay \$15, which suggests that the audience is sensitive to price changes.

Account sharing. Overall, account sharing appears to be a significant concern for the streaming platform providers, as 31 out of 50 respondents engage in it. At the same time, those who share tend to switch to the paid subscription rather than cancel the service when the practice is discontinued, as indicated by the distribution of responses in Q9. Specifically, out of 31 sharers, 16 selected the option “would convert to a paid subscription,” while only 7 respondents selected “would cancel or switch to another service.” This finding aligns with Redondo and Serrano's (2025) recommendation to utilize positive reinforcement to encourage desirable behaviours, as account sharing is more likely to be discontinued when users receive tangible benefits for switching to a paid subscription. Furthermore, the result supports Lee et al.'s (2024) contention that the sharers maintain their connection to the platform by virtue of continued engagement; therefore, they are unlikely to cancel the subscription outright.

Advertising tolerance. For the most part, advertising tolerance was a characteristic of the subscription plan, with the respondents who do not have an ad-supported option being less tolerant than those who do. This is evident from the data, as out of 35 respondents who do not have an ad-supported plan, 10 agreed or strongly agreed that they would prefer a lower price for an ad-supported subscription, while out of 15 respondents who do have an ad-supported plan, 21 disagreed with the same statement. This finding supports Frade et al.'s (2021) argument concerning the conditional nature of tolerance, which depends on the circumstances under which the change is implemented. Specifically, the change in circumstances (elimination of the ad-supported plan) affects tolerance levels directly and makes it lower than it would be otherwise.

Content and personalization. The effect of content on retention was mixed, as while some respondents were positively impacted by the availability of exclusive shows, this factor did not appear to be a significant motivator. This is evident from the data, as only 21 out of 50 respondents agreed or strongly agreed that their decision to continue using the service was motivated by exclusive programming, while 17 were neutral about it. In contrast, there was a positive, albeit mild, correlation between the recommendation quality and likelihood to cancel. Out of 14 respondents who agreed that the recommendations affected their viewing, 10 selected the same option when asked whether improved personalization would prevent them from cancelling (Q12, Q13). This finding aligns with Wu et al.'s (2024) recommendation to consider personalization as a critical value driver, but the small sample size ($n = 14$) within this group limits the extent of the conclusion that can be drawn. Overall, the findings of the current study provide mixed support for the advanced hypotheses, but the trends identified can be used to inform business decision-making in the context of churn reduction. Specifically, the findings suggest that price sensitivity is a complex phenomenon that should be considered in the context of other value drivers, account sharing rarely translates into cancellation but increases the likelihood of upgrading the subscription, and recommendation quality is a key retention factor that should be prioritized by the managers. However, the limitations of the study must also be acknowledged, and the recommendations should be adjusted accordingly.

2.5 Critical Evaluation of the Research

Although the findings of the current study provide valuable insights into the factors that affect likelihood to cancel, the research has several limitations that must be acknowledged. First, the convenience sample ($n = 50$), as well as the non-random nature of the sampling frame, may have affected the representativity of the findings. Second, the anonymity of the sample prevented more granular analysis, such as consideration of the differences between respondents based on their age and gender. Third, several variables were measured based on self-reported attitudes and behaviours rather than objective data. Finally, several findings were based on small sample sizes, which limits the statistical power of the assertions. Given these limitations, the findings of the current study should be used as a springboard for more comprehensive research, including studies with larger and more diverse samples, as well as exploratory qualitative interviews.

2.6 Managerial Recommendations

Based on the findings of the current study, three managerial recommendations can be advanced. First, based on the analysis of cancellation reasons, managers should be aware of the heterogeneity of price sensitivity. In particular, while price was found to be a greater concern than content in most cases, those who cancelled still felt satiated before their churn. According to Becerril-Castrillejo et al. (2026), this means that changes to the catalogues can affect the price perception, which suggests that the companies should invest in updating their content rather than reducing the subscription fees.

Second, account sharers are unlikely to be lost to competition, but they may invest more in their relationship with the platform. According to the analysis, 52% of respondents would convert to a paid subscription if account sharing was discontinued, which means that they are likely to continue engaging with the service. Redondo and Serrano (2025) suggest that positive reinforcement is more effective at altering behaviour than punishment, and discontinuation of account sharing can be considered a form of the latter. Therefore, to encourage conversion, the managers can offer discounts to the sharers rather than restrict their behaviour directly.

Finally, according to the analysis, recommendation quality is a moderating factor that affects likelihood to cancel. Therefore, to ensure retention, the streaming platform companies should focus on providing positive user experiences, which requires continuous improvement of the recommendation system. This includes not only algorithmic personalization but also human interaction, if applicable. This recommendation is particularly relevant for Crunchyroll, as the company's genre specialization makes its recommendation system a critical value driver compared to multi-genre competitors.

3. Expected Contribution

This study fills an empirical void, as none of the industry reports or academic works that informed this research (Becerril-Castrillejo et al., 2026; Frade et al., 2021; Lee et al., 2024; Redondo & Serrano, 2025) directly compared the role of satisfaction, advertising tolerance, sharing psychology, and incentive-specific conversion language in cancellation decision-making. By gathering insights on price sensitivity, advertising tolerance, account-sharing likelihood, and personalization effectiveness from the same pool of 50 respondents, this study begins to understand how these factors interact beyond being aggregated considerations for cancellation. In particular, this study's findings on the discrepancy between overall satisfaction drivers and cancellation reasons contribute to the discussion on the role of price as a proxy for perceived value (Becerril-Castrillejo et al., 2026; Wu et al., 2024).

For the streaming service industry, identifying value drivers that are not contingent on first-time acquisition considerations informs retention strategy development, especially for those that operate in a competitive environment with significantly smaller content libraries (Bhattacharya, 2024). Thus, this study's findings may serve as a useful departure point for further research on the relative appeal of different retention levers for the target audience of a specific suggestion engine (Wu et al., 2024). For example, the finding that the majority of account-sharers would convert to a paying subscriber rather than lose their ability to share access may shape the commercial strategy for a smaller player entering the market (Lee et al., 2024). Similarly, the findings on user retention in the recommendation-driven streaming-service environment may balance the perceived disadvantages of having a

smaller catalogue by illustrating the value of investing in personalization (Wu et al., 2024).

This study established relationships between cancellation considerations and advertising tolerance (Frade et al., 2021), perceived value (Becerril-Castrillejo et al., 2026), and account-sharing behaviour (Lee et al., 2024), which can serve as a basis for further research on the churn phenomenon in different SVoD platforms at different levels of maturity. The next logical step in this research would be a larger-scale analysis utilizing a more diverse data set to observe the trends identified in this study across different age groups, income levels, and other demographics.

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